SNLB Farms

Comprehensive Feasibility Study

Commercial tomato farming on a leased 100-hectare master block in Ogun State, Nigeria, supplying Mile 12 International Market, Lagos. A self-funding expansion from 1 hectare to 100 hectares through two-cycle production, 50/50 reinvestment and progressive mechanization.

Prepared	August 2026
Horizon	5 years / 10 cycles · 1 ha → 100 ha in six cycles (3 years)
Planning case NPV	₦5.78 billion at 18% (Regular first, non-glut, 5-year, no TV)
Opening capital	₦8.0 million (₦3.0m CapEx + ₦5.0m Cycle 1 working capital)
Includes	SWOT · ESG · charts · NPV/IRR · three scenarios · optional ₦80m facility
Classification	Planning document — not financial, legal, tax or investment advice

Commercial Tomato Farming on a Leased 100-Hectare Master Block
Ogun State, Nigeria — supplying Mile 12 International Market, Lagos

A self-funding expansion from 1 hectare to 100 hectares, driven by two-cycle annual production, disciplined 50/50 profit reinvestment, progressive mechanization, and a complete cost, CapEx and tax stack sized for promoters and, if later required, lenders.

Field	Detail
Entity	**SNLB ENTERPRISE** (CAC business name **BN 6922259**, 31 March 2023) trading as SNLB Farms
Prepared	August 2026
Horizon	Year 1–Year 5 (build-out in six cycles / three years; steady state Years 4–5)
Currency	Nigerian naira (₦), nominal
Planning case	Regular first at non-glut Mile 12 prices — 20/18 t/ha, ₦33,000 / ₦145,000 baskets, full stack, NTA 2025 tax
Classification	Confidential planning document

Purpose. This study assesses the commercial viability of phased hybrid tomato production on a contiguous 100-hectare master block in Ogun State, with produce sold into Mile 12 International Market (≈1.5 hours). It sets out the operating model, market, agronomy, Cycle 1 calendar and cash waterfall, the ₦8 million opening uses at current shop tickets, quality spec, power and security, procurement lead times, offtake heads of terms, buffer use, expansion path, three financial scenarios, charts, discounted cash flow, optional facility terms, risk, ESG, and the conditions for first planting.

Disclaimer. Figures are illustrative projections on stated assumptions. They are not guarantees. This document is not financial, legal, tax or investment advice. Independent professional advice is required before capital is committed.

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Intended farm-management partner: **FarmPark** (King's Deck, Chevron Drive, Lekki) — public file and remaining gaps in Appendix F. Engagement is advisory on SNLB's land; this is not a FarmPark co-investment. Cycle 1 opening uses (₦8.0 million at August 2026 shop tickets) are in §6.11.

1. Executive Summary

This study assesses a phased tomato farming venture established on a single leased hectare within a contiguous **100-hectare master block** in Ogun State, Nigeria. Produce is transported roughly **1.5 hours** to Mile 12 International Market in Lagos — West Africa's largest fresh-produce terminal.

The operating model runs **two production cycles per year** on every hectare under cultivation:

- **Regular Season** (December–June) — the first cycle; planned at a **non-glut** Mile 12 price for graded hybrid fruit, not at the January crash.

- **Peak (Scarcity) Season** (July–November) — national northern supply tightens and Mile 12 prices rise; the margin engine, from Cycle 2.

The first cycle is **Regular, on one hectare**. Every cycle afterward alternates Peak and Regular as the footprint grows. From Cycle 5, about **70% of volume** is sold under bulk tonnage contracts so that scale does not flood the Mile 12 spot auction.

Agronomic targets sit at the conservative end of NIHORT's intensive range (20–40 t/ha): **20 t/ha Regular / 18 t/ha Peak**, with drip and best practice from transplant one. The **planning case** uses those yields and **non-glut** Mile 12 prices — **₦33,000 Regular / ₦145,000 Peak**. An **upside case** adds the NTA 2025 five-year agricultural income-tax holiday. A **stress case** applies the January 2025 glut floor (₦15,000), weaker Peak prices, lower yields and faster cost inflation. **₦22,000 is a weak-glut caution, not the Regular plan.**

Capital allocation follows a **50/50 rule** at every cycle close: half of net profit is a cash buffer; half is reinvested into adjacent hectares, drip extension and, later, packhouse infrastructure. Land added per cycle is capped at **+45 ha**, the practical ceiling on preparation, irrigation and staffing in a single six-month window. Under that combination the venture reaches the full 100-hectare block in **six cycles — three years**.

Opening capitalization is **₦8.0 million**: ₦3.0 million of irrigation infrastructure and basic equipment, and ₦5.0 million of Cycle 1 working capital. That pack is itemised in §6.11 against **August 2026** Ogun/Lagos shop tickets (borehole, drip, hybrid seed, solubles, crates, labour). It follows the public Nigerian 1-ha tomato business-plan skeleton (Veggie Concept / Veggie Grow) for structure only — not that template's 2022 ₦720,000 opex. Growth after Cycle 1 is funded from retained earnings. External debt is not required to reach 100 ha. An optional ₦80 million production facility from Year 2 is specified so that a BOA or NIRSAL-wrapped bank file is ready if the promoters later choose it.

Key figures at a glance — planning case (Regular first, non-glut)

Metric	Value
Starting scale (Cycle 1)	1 ha, Regular Season (non-glut price)
Agronomic and planning yield	20 t/ha Regular / 18 t/ha Peak (NIHORT-sourced; drip from Cycle 1)
Planning prices (50 kg basket)	₦33,000 Regular / ₦145,000 Peak
Expansion path	1 → 3 → 15 → 27 → 72 → 100 ha, capped at +45 ha/cycle
Time to full 100 ha	6 cycles — 3 years
Opening capital	₦8,000,000 (₦3.0m CapEx + ₦5.0m Cycle 1 WC)
Year 1 NPAT / net margin	₦97.4m / 57.4%
Year 3 NPAT / net margin	₦3.24bn / 56.4% (first year the block is full)
Cycle 1 break-even	₦15,810 / basket vs ₦33,000 Regular (52.1% margin of safety)
Cycle 1 net profit	₦4.54 million on ₦13.2 million revenue
Sales-unit transition	From Cycle 5 (72 ha): ≈70% bulk / 30% spot
Cumulative buffer by Year 3	₦2.13 billion
5-year NPV @ 18% (no terminal value)	₦5.78 billion
Optional ₦80m facility — minimum DSCR	145× planning; 4.0× stress

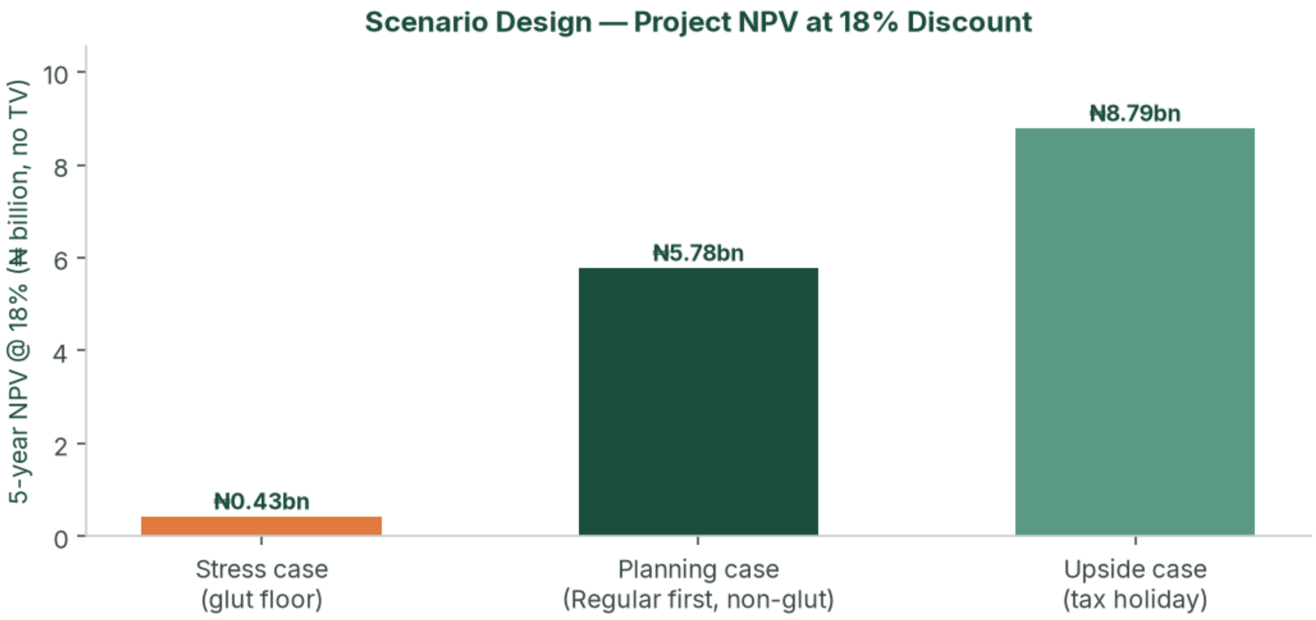

Figure: Three designed scenarios — stress, base (planning) and upside — 5-year NPV at an 18% agri-risk discount, no terminal value.

Feasibility verdict

The venture is **feasible**. It combines (a) a structural national supply deficit for fresh tomatoes, (b) a durable Ogun–Lagos logistics advantage versus long-haul northern producers, (c) a two-cycle calendar that starts on Regular at a non-glut Mile 12 price and then captures Peak scarcity at 3 ha, and (d) a cycle-level 50/50 allocation that funds land under cultivation while building a cash buffer. The pace of the plan is governed by how quickly new land can be prepared, staffed and irrigated — not by how much capital is available after Cycle 2.

2. Business Overview & Strategic Model

2.1 Concept & business model

The venture leases (and options) the full contiguous 100-hectare block in Ogun State before operations begin, then brings parcels into cultivation as retained profit allows. Because the block is already secured, each expansion step is operational — drip, land prep, staffing — rather than a new land negotiation.

- **Cycle 1 — Regular Season (non-glut price).** One hectare; harvest into the December–June window at ₦33,000/basket; first track record and first Mile 12 relationships.
- **Cycle 2 — Peak Season.** Three hectares; harvest into July–November scarcity at ₦145,000/basket; first high-margin cash generation.
- **From Cycle 3.** Regular and Peak alternate on the growing footprint. Produce moves Ogun → Mile 12 in about 1.5 hours, in 50 kg baskets, until the Cycle 5 bulk transition.

The land structure used in the model is the one a lender or careful promoter would want: **₦200,000/ha/year** on cultivated hectares plus a **₦25,000/ha/year holding fee** on unused option land, with the lease/option assignable. Lease-to-own conversion from Year 2, funded from the buffer, builds collateral.

2.2 Capital allocation — the 50/50 rule

At the close of **every cycle**:

- **50% reinvested** — next-cycle working capital, drip on newly added hectares, and triggered shared infrastructure (boreholes, packing shed, packhouse).
- **50% retained as buffer** — weather, pest, weak-price or mobilisation delay, without a pause in operations.

Hectares are added only up to what the reinvestment pool can fund, and never more than **+45 ha** in one cycle. From Cycle 4 the operating ceiling, not cash, binds.

2.3 Mechanization roadmap

The venture is asset-light. Machinery is rented per cycle from a farm-management company as acreage crosses defined thresholds. Discounts apply to **base production cost only**.

Stage	Trigger	Approach	Effect on unit cost
Stage 0 — Manual	< 5 ha	Manual land prep; FMC in advisory capacity	Baseline
Stage 1 — Rented core fleet	5–24 ha	Tractors and tillers rented per cycle	≈7%
Stage 2 — Bulk + fleet	25–59 ha	Bulk inputs plus expanded rented fleet	≈14%
Stage 3 — Full mechanization	≥ 60 ha	Master service contract; optional owned implements	≈20%

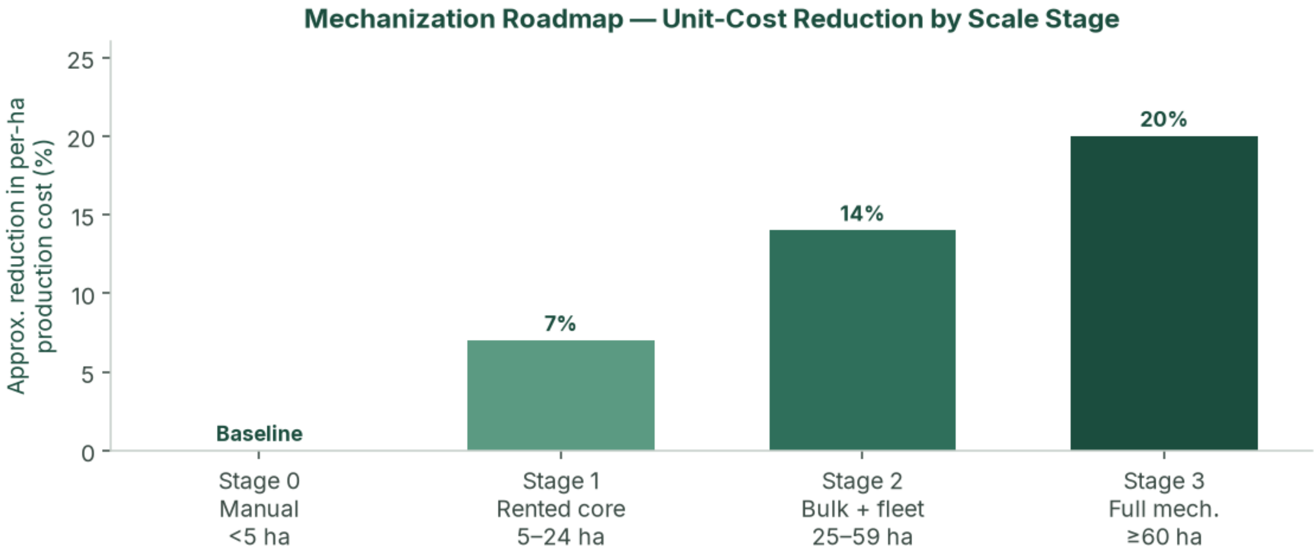

Figure: Mechanization stages and approximate per-hectare cost reduction. Applied as a discount to base production cost in the financial model.

2.4 Value proposition

- **Strategic market access.** 1.5-hour transit to Mile 12 versus 36–48 hours from the north, cutting post-harvest spoilage to under 5% against 40%+ for long-haul competitors.
- **Countercyclical supply.** Reliable volume in the months when the broader market is scarcity-constrained.
- **Scalable, capital-light growth.** Self-funded path from 1 to 100 ha in three years, without owning a tractor fleet.
- **Self-funding resilience.** The 50/50 policy funds growth and insulates against a single bad cycle.

2.5 Competitive advantages

- **Capital wall.** All-in production of roughly ₦3.4m–₦3.8m per hectare (planning case, before scale discounts) keeps casual entrants out.
- **Know-how.** Two-cycle timing, hybrid seed, drip and mechanization coordination.
- **Geographic insulation.** Ogun is structurally less exposed to northern *Tuta absoluta* (“tomato Ebola”) outbreaks that drive the price spikes Peak cycles are timed to meet.
- **Auditable track record.** Cycle-level books from harvest one make the venture financeable if external capital is later sought.

2.6 SWOT analysis

	Helpful	Harmful
Internal	**Strengths:** Ogun proximity (1.5 h vs 36–48 h north); two-cycle scarcity capture after a Regular start; 50/50 discipline; master option/lease; drip from Cycle 1; asset-light mechanization; phased drip and packhouse CapEx inside the model.	**Weaknesses:** Mile 12 concentration until Cycle 5; operational bandwidth (staffing and land prep) binds before capital; thin management in early cycles; working-capital intensity per hectare; no owned cold chain until the Cycle 5 packhouse trigger.
External	**Opportunities:** Structural deficit and US$350–400m paste imports; processor offtake (Dangote, Tomato Jos); NATIP, ACGSF, Ogun SAPZ; NTA 2025 agri tax holiday on the upside case; lease-to-own collateral.	**Threats:** January 2025 glut prints of ₦13–15k if Regular is a crash not a non-glut week; input inflation (NBS food 16.96% May 2026); Peak pest pressure; new southern intensive entrants; lease/tenure defect; Regular harvest at 72 ha without bulk contracts.

3. Market Analysis

3.1 Macro market — the Nigerian tomato industry

Nigeria is Africa's second-largest tomato producer (≈**3.7 million tonnes**) and still imports an estimated **US$350–400 million** of tomato paste a year. Tomatoes are a staple vegetable with inelastic household demand. The paradox — large output, large imports, violent retail spikes — is explained by rain-fed smallholder yields of **4–10 t/ha**, **40–50%** post-harvest loss on the north–south corridor, and recurring *Tuta absoluta* events that can destroy 50–100% of affected northern fields.

Policy is supportive rather than a cash input to the model: NATIP 2022–2027, ACGSF (up to 75% guarantee on qualifying agricultural loans), FX frictions on some paste imports, and Ogun State's Special Agro-Industrial Processing Zone.

3.2 Micro market — Mile 12 International Market, Lagos

Mile 12 absorbs an estimated **1,000+ tonnes of tomatoes a day** for a Lagos population above 20 million. Price discovery is daily, auction-style, in 50 kg "big baskets." Selected verified points (not a continuous series; gaps are not interpolated):

Period	50 kg basket	Context
Aug 2024	₦50,000	Seven-month low; down 58% from ~₦120,000 Jan/Feb 2024
Dec 2024	₦35,000–₦55,000	Dry-season glut, quality-dependent
Jan 2025	₦13,000–₦15,000	Deep glut — **stress-case Regular floor**
Feb 2025	₦40,000	Recovery
Late May / early Jun 2026	₦60,000–₦70,000	Inter-peak trough
Early Jul 2026	₦120,000–₦150,000	Scarcity spike — **planning Peak reference**

The **planning case** sells Regular at **₦33,000** (non-glut Mile 12 price for graded hybrid fruit — the original operating ticket, inside the Dec 2024 ₦35,000–₦55,000 cluster) and Peak at **₦145,000** (July 2026 scarcity print). **₦22,000 is not the Regular plan**; it is a weak-glut caution. The **stress case** uses the January 2025 crash (₦15,000) and a weak Peak (₦55,000).

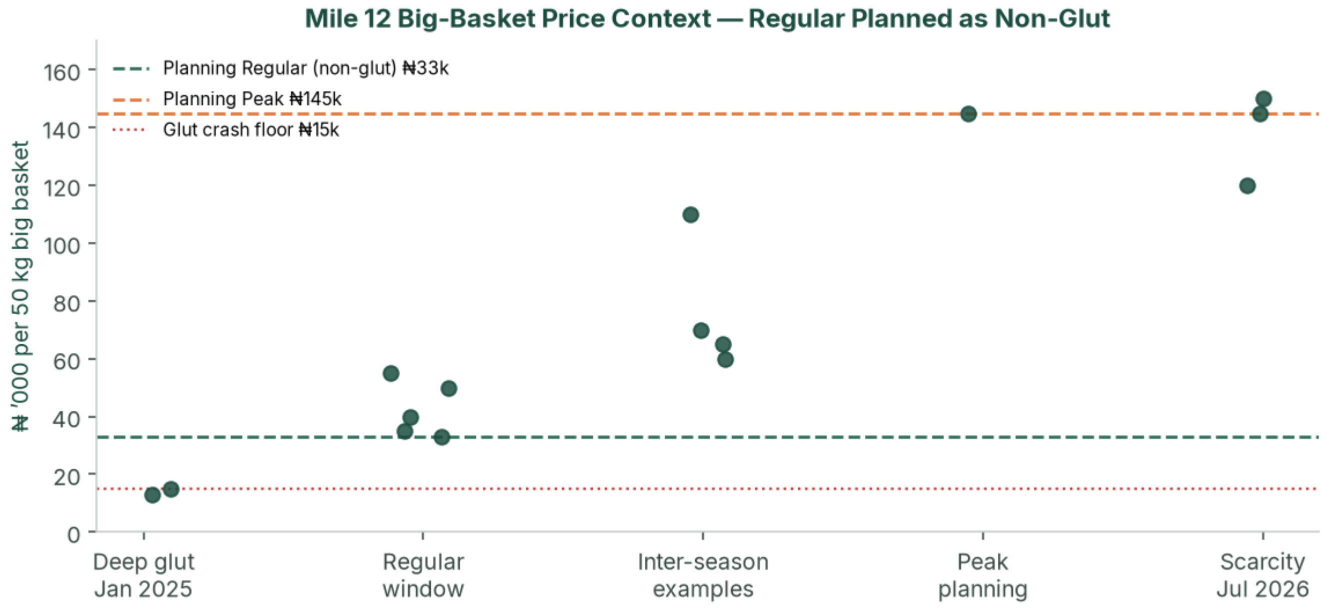

Figure: Selected Mile 12 big-basket points against planning prices (₦33k non-glut Regular / ₦145k Peak). Cycle 1 is Regular at the non-glut ticket, not at the January crash.

3.3 Value chain positioning

About **98%** of national production comes from smallholders on 1–5 ha plots, selling as price-takers to aggregators who truck produce 1,000+ km south and typically lose 40%+ of the load. By supplying Ogun → Mile 12 directly, the venture skips aggregator and long-haul layers, offers a fresher graded product, and is positioned for processor offtake at scale.

3.4 Competitive landscape

Cohort	Versus this venture
Northern smallholders and aggregators	Dominant volume; high spoilage; create the scarcity Peak cycles sell into
Large northern commercial (e.g. Olam-Caraway, Jigawa)	Demonstrated 30–40 t/ha; still long-haul to Lagos; more processing-oriented
Southern / peri-Lagos intensive growers	Limited scale today; capital wall plus two-cycle know-how is the barrier
Processors (Dangote Tomato, Tomato Jos)	Structurally short of consistent fruit — Cycle 5+ offtake, not Cycle 1 cash

3.5 Demand outlook & addressable market

At 100 ha the planning case produces **3,800 tonnes per year** (Years 4–5). That is about **3–4 days** of Mile 12 throughput — material to named wholesalers, not to the terminal as a whole — provided Cycle 5 bulk contracts are in place.

Offtake design from Cycle 5: ~50% standing wholesale contracts, ~20% processor/institutional, ~30% Mile 12 spot. No single counterparty above **40%** of a cycle without board consent. Two letters of intent before Cycle 3; a bulk term sheet before Cycle 5 planting — or the +45 ha Regular step waits for the next Peak.

4. Site, Agronomy & Operations

4.1 Ogun State growing conditions

Deep, well-drained soils suitable for intensive irrigated tomato; 1.5-hour corridor to Lagos; SAPZ road and tenure context; two climatic windows that map onto Peak and Regular. **Soil laboratory tests and a borehole yield/quality test on the first 10 ha are conditions of first planting.** Until those exist, yield is a planning assumption. The planning case uses the agronomic target because drip and best practice are in from Cycle 1.

4.2 Hybrid seed and yield

Cultivars: **Eva F1 / Platinum F1**, with NIHORT HortiTom4 / HortiTom5 (reported potential 21.7–27.2 t/ha) on a side-by-side trial from Cycle 2.

Source	Yield
Smallholder rain-fed	4–10 t/ha
NIHORT intensive guidance	20–40 t/ha
Olam-Caraway (Jigawa)	30 t/ha out-grower; up to 40 t/ha company fields
Agronomic and planning yield	**20 t/ha Regular / 18 t/ha Peak**
Stress case	**15.0 / 13.5 t/ha**

Unit convention: 1 tonne = 20 baskets of 50 kg. Peak yield is 10–12% below Regular for rainy-season disease pressure. Each cycle is 60–90 days transplant to harvest.

4.3 Two-cycle production calendar

Cycle	Window	Planning yield	Planning price	Role
Regular (Cycle 1 first)	Dec–Jun	20 t/ha (400 baskets)	₦33,000/basket	Establishing cycle at a **non-glut** Mile 12 ticket
Peak (Scarcity)	Jul–Nov	18 t/ha (360 baskets)	₦145,000/basket	Scarcity capture; footprint expanded ahead of every Peak

Planting weeks are reverse-engineered from the target Mile 12 window. **A Peak harvest that misses the scarcity window is the principal operating way to weaken the plan.** Cycle 1 stays Regular so the farm is proven before that window.

How Cycle 1 earns the non-glut Regular price

December–June is a long window. January 2025 printed ₦13,000–₦15,000; December 2024 and February 2025 printed ₦35,000–₦55,000 and ₦40,000. The ₦33,000 planning ticket is the non-crash Regular market — not an average of the crash. Cycle 1 is therefore timed to **harvest February–April**, after the January trough and before Peak.

Step	Timing (illustrative)	Purpose
Nursery	Late October – late November	3–4 week hybrid seedlings, hardened
Transplant	Late November – mid December	Miss a January-only harvest
Vegetative / first flower	December – January	Fertigation and scouting; do not flood the January auction
Harvest	February – April	5–6 week pick; sell into the non-glut Regular cluster
Cycle close	April	50/50 split; prepare +2 ha for Peak transplant ~May

If the farm is not ready for a November nursery, wait for the next Regular window rather than transplanting into a January harvest. Peak (Cycle 2) is then reverse-engineered from a July–November scarcity sale.

4.4 Irrigation, soil and pest management

Drip plus fertigation on every productive hectare; shared mainlines across the master block. Opening CapEx ₦3.5 million (headworks + 1 ha). Incremental **₦1.0 million per additional hectare**, plus triggered shared works: second borehole ₦6 million at 15 ha; packing shed ₦8 million at 27 ha; packhouse, cold room and third borehole ₦40 million at 72 ha.

IPM: resistant hybrids, traps, scouting, biologicals where feasible, targeted chemistry. Ogun is insulated from the main northern *Tuta* belt; Peak season is still modelled as higher cost and lower yield.

Indicative water duty 4,000–6,000 m^3/ha/cycle under drip, to be replaced by the agronomist. At 5,000 m^3/ha, Cycle 1 needs about **5,000 m^3** over 90 days (~55 m^3/day). A small borehole (2–4 m^3/hour) covers 1 ha. At 100 ha the same duty is ~500,000 m^3/cycle — which is why borehole design is sized to the full block **before Cycle 5**, not improvised at 72 ha.

4.5 Post-harvest handling, logistics and Mile 12 selling

Plastic crates from Cycle 1 (not raffia). Spoilage target **<5%**. Yields in the model are already net of a small field loss. Insulated or refrigerated trucking at **₦900/basket** in the planning case. Grading on size, colour, firmness and defects. Speed-to-market is the cold chain until the Cycle 5 packhouse.

Cycle 1 does not flood Mile 12. 20 t on 1 ha is 400 baskets over a 5–6 week harvest — about **10–15 baskets per selling day** (1–2 small loads), not a terminal event. The 1,000+ t/day Mile 12 throughput absorbs that without moving the market.

How the first 400 baskets are sold:

- Grade to a **firm, hybrid, crate-packed** spec so the fruit trades with Jos-type Grade A, not the cheap soft local basket.
- Open a **buyer log** of 5–8 Mile 12 wholesalers from week one of harvest; sell to two or three names, not a single dump.
- Arrive early (pre-auction tightness), weigh and grade on the floor, cash T+0 to T+3.
- Keep a daily price log against the ₦33,000 plan. If prints sit at ₦15,000–₦20,000 for a week, that is the stress case — see the Cycle 1 go/no-go in §6.14. Do not "average up" in the books.

4.6 Staffing plan

Seasonal field labour sits inside per-hectare production cost. Management scales with acreage and is the binding operational constraint from Cycle 4.

Role	Cycles 1–2 (1–3 ha)	Cycles 3–4 (15–27 ha)	Cycles 5–6 (72–100 ha)
Farm manager	1	1	1 senior
FarmPark (advisory / later SLA)	Lekki advisory; not a substitute for the on-site manager	Optional mechanization coordination	Master service only if C4 mobilisation was real
Field supervisors	0	1–2	4–6
Logistics / Mile 12	Owner	1	2
Finance & admin	Owner	1	2–3
Modelled monthly management payroll	₦70,000	₦550,000	₦2,600,000

PAYE, pension (Pension Reform Act 2014) and NSITF/ITF are quantified with advisors as payroll formalises.

Harvest labour on 1 ha: **8–12 pickers**, two to three picks a week for 5–6 weeks, plus crate handling and one driver/owner run to Mile 12. That crew sits inside the ₦612,000 Regular seasonal-labour line. At 72–100 ha the same pattern scales; it is why the 45 ha/cycle ceiling exists.

4.7 Sales-unit transition — baskets to bulk

The 50 kg basket is the primary unit through Cycle 4 (27 ha). From Cycle 5 (72 ha), ≈70% of output moves to standing bulk contracts at a 10% discount to spot (7% blended haircut, built into every scenario). ≈30% remains Mile 12 spot for price discovery.

4.8 Production cost build-up (planning case, Year 1, pre-mechanization discount)

Line (share of base)	Regular ₦/ha	Peak ₦/ha
Hybrid seed & seedlings (30%)	1,020,000	1,140,000
Fertilizer & fertigation (20%)	680,000	760,000
IPM / crop protection (12%)	408,000	456,000
Seasonal labour (18%)	612,000	684,000
Irrigation operating cost (8%)	272,000	304,000
Staking, twine, mulch (7%)	238,000	266,000
Nursery & miscellaneous (5%)	170,000	190,000

Line (share of base)	Regular ₦/ha	Peak ₦/ha
Base production cost	**3,400,000**	**3,800,000**

NAIC arable cover is **2% of production cost on top**. Quotations replace these shares before a BOA appraisal.

4.9 Cycle 1 field pack — how 20 t/ha is built on 1 ha

The 20 t/ha Regular yield is not a later-cycle prize. It is the intensive drip stand on hectare one.

Item	Cycle 1 planning pack
Net cultivated area	1.0 ha (beds, paths and tank inside the hectare)
Plant population	≈22,000–25,000 plants/ha (hybrid, transplanted)
Spacing (indicative)	Double-row on drip laterals; 30–40 cm in-row
Cultivar	Eva F1 / Platinum F1; HortiTom strip from Cycle 2
Nursery	3–4 weeks; 10% extra seedlings for gaps
Irrigation	Drip + fertigation from transplant; mulch; staking/trellis
Harvest	Breaker/turning stage; 2–3 picks/week; plastic crates
Output	20 t = 400 × 50 kg baskets, net of a small field loss

Indicative bill against the ₦3.4 million Regular production line is itemised in §6.11 (August 2026 shop tickets). Opening CapEx (₦3.0 million) is borehole, 1 ha drip, small genset, 40 crates and tools — the kit that makes this stand possible.

4.10 Quality specification — how ₦33,000 is earned

₦33,000 is a **grade**, not a hope. Cheap, soft, raffia-packed local fruit prints ₦13,000–₦25,000 even in mixed weeks. Firm hybrid in crates prints with Jos-type Grade A (₦35,000–₦55,000 in ordinary Regular surveys). Cycle 1 fruit must meet a written spec before it leaves the farm:

Attribute	Cycle 1 spec
Cultivar	Named hybrid (Eva F1 / Platinum F1); no recycled seed
Ripeness	Breaker to turning; no fully red overripe on the vine
Firmness	Thumb test; reject soft, cracked or watery fruit
Size / colour	Uniform; defects and sunscald out
Pack	Clean plastic crate, 50 kg net, no raffia
Residue	Spray interval observed; no harvest the day of chemistry
Spoilage in transit	<5%; insulated/crate haul, 1.5 hours

Fruit that fails the spec is sold as a second grade or dumped — it is not mixed into the ₦33,000 lot. That is how the non-glut Regular ticket is defended on the Mile 12 floor.

4.11 Power, pumping and farm security

Drip on 1 ha needs reliable pumping, not grid hope.

- **Cycle 1 power.** A small diesel genset (or hybrid solar-pump where the borehole yield allows) is part of the ₦3.0 million opening kit. Budget fuel inside the ₦272,000 irrigation operating line. Keep 72 hours of diesel on site.
- **Spares.** One spare pump, fittings and a drip-repair kit on hectare one. Irrigation failure is a yield event, not a maintenance inconvenience.
- **Security.** Night watch on the nursery and drip headworks from transplant. Haul cash is T+0 to T+3 — two-person Mile 12 runs, no overnight cash on the farm. GIT cover is already in the model.

- **Host community.** Written access for labour and a simple grievance channel before Cycle 1. Prefer local harvest crews. This is social licence, not CSR theatre; a blocked gate at 72 ha is an operating risk.

4.12 Input procurement lead times

Cycle 1 fails if seed and drip arrive after the November nursery window.

Item	Lead time	Action
Certified hybrid seed	8–12 weeks (import / authorised distributor)	Order before nursery; 10% extra for gaps
Drip laterals, filters, fertigation tank	4–8 weeks	Deposit after soil/water pass; install before transplant
Fertilizer and soluble feed	2–4 weeks	First cycle on quotation; bulk from Cycle 3
Crates, twine, mulch, traps	2–3 weeks	On site before transplant
NAIC / GIT bind	2–3 weeks	Bind before transplant, not after

FX on imported seed and drip is managed by **naira quotations and early order**, not by hoping the naira holds. That is already the planning assumption; it is an operating task in months −4 to −1.

4.13 Farm-manager KPIs (Cycle 1–2)

The farm manager is paid against cycle packs, not against hope.

KPI	Cycle 1 target	Cycle 2 target
Yield (net)	≥ 18 t/ha (plan 20)	≥ 16 t/ha Peak (plan 18)
Spoilage in transit	<5%	<5%
Average realised ₦/basket	≥ ₦30,000 Regular	Peak window hit (Jul–Nov sale)
Spray / harvest interval	Spec held	Spec held
Cycle close pack	Within 21 days of last sale	Same

Missed Peak timing is a farm-manager miss, not a market miss.

4.14 Intended farm-management partner — FarmPark (Lekki)

The promoters intend to engage **FarmPark**, office at Suite 2, 3rd Floor, King's Deck, Alternative Route off Chevron Drive, Lekki, as the farm-management company. Public identity: trading name FarmPark / farmpark.ng; LinkedIn and 2022 job ads state that **Farm Park is a trademark of FarmAgro Projects Limited**; job boards also use **FarmPark Limited**. Founding Executive Director named in public profiles: **David Omaghomi**. Contacts they publish: 0708 062 9726, care@farmpark.ng.

The SNLB contracting party is **SNLB ENTERPRISE** (CAC BN 6922259). Convert to a limited company before a long SLA or a credit file.

How FarmPark operates (their public model)

They sell three products in one loop: **farmland acquisition**, **co-investment** (share profits and risk), and **expert farm management** so the client does not farm. LinkedIn About: they select land, cultivate **whichever produce the investor desires** (crop or ranch), and generate income for that investor. Founder packages: **FARM-IN** (urban/diaspora capital enters a project), **FARM-OUT** (they or a placed farmer operate the land), **e-Farming** (track from anywhere). Client-services staff close after **site tours**. A 2022 Farm Officer was hired to analyse **crops, poultry, staff and finances** and to write planting/harvest schedules — mixed crop-and-livestock, not a tomato drip SLA.

Their own May 2023 operating notes: plan and budget (crop, irrigation, pest, marketing); put a **farmer on site every day**; kit from hoe to tractor/sprayer; a store; logistics to market; soil tests; crop insurance; **diversify into livestock** as risk management. Public posts that name a sector name **fish, poultry and hatchery** in Lagos/Ibadan. Tomato is only in scope as client-chosen produce. Website figures (500 acres, 85% "annual yield") are unverified and are **not** used in this model.

How that sits on this tomato farm

SNLB’s crop, calendar, land and P&L are already locked. FarmPark is useful only as a **contractor on SNLB’s Ogun block**. The default FarmPark product (they bring land and co-investors, pick the “hottest” sector, remit returns) is **not** the engagement.

Tomato-farm activity	SNLB	On-site farm manager	FarmPark (intended C1–2 advisory)
100 ha option and ₦8.0 million	Holds both	—	Does not sell land or pool capital
Hybrid tomato, drip, 20/18 t/ha	Accountable	Daily	Advise spec, calendar, fertigation, labour gang
Regular harvest Feb–Apr; Peak Jul–Nov	Accountable	Executes	Calendar and Peak IPM; no livestock on the block
Grade, crate, Mile 12, cash T+0	**Sells**	Supports	Informed only — does not take the floor or remit “investor returns”
50/50 NPAT	Stays inside SNLB	—	Naira retainer / later SLA; **no profit share**
Mechanization at 5 / 25 / 60 ha; +45 ha	Accountable	Coordinates	Optional SLA from C3; written mobilisation before C4

e-Farming is a weekly photo pack, not the operator. If they cannot show a tomato or intensive-vegetable farm you can walk, keep them as land/admin advisor and hire the agronomist separately.

Engagement shape. Cycles 1–2 remain Stage 0: FarmPark on **advisory** terms; a named farm manager on the Ogun site. A mechanization SLA is still required before Cycle 4. The full operating file, RACI and gap list sit in **Appendix F**. Until CAC papers, a Cycle 1 advisory letter and a reference-farm visit are in the data room, FarmPark is a **named intention**, not a closed CP.

5. Growth & Expansion Roadmap

5.1 Master block strategy

A master option/lease is executed across the contiguous 100-hectare block before operations begin. Bringing a new parcel into cultivation is then irrigation, land preparation and staffing — not a new legal negotiation.

5.2 Cycle-by-cycle organic expansion

The path is 1 → 3 → 15 → 27 → 72 → 100 ha. Jump sizes are what the reinvestment pool can buy, subject to the 45 ha/cycle ceiling. Cycles 1–4 are cash-unconstrained after Cycle 2 Peak; from Cycle 4 the ceiling binds.

Cycle	Added	Area	Mech.	Planning revenue	Planning NPAT	Cycle CapEx
C1 Y1 Regular	start	1 ha	0	₦13.2m	₦4.54m	opening at t=0
C2 Y1 Peak	+2	3 ha	0	₦156.6m	₦92.9m	₦2.0m drip
C3 Y2 Regular	+12	15 ha	1	₦198.0m	₦83.2m	₦18.0m drip + borehole
C4 Y2 Peak	+12	27 ha	2	₦1,409.4m	₦846.0m	₦20.0m drip + shed
C5 Y3 Regular	+45	72 ha	3	₦883.9m	₦361.2m	₦85.0m drip + packhouse
C6 Y3 Peak	+28	100 ha	3	₦4.85bn	₦2.88bn	₦28.0m drip

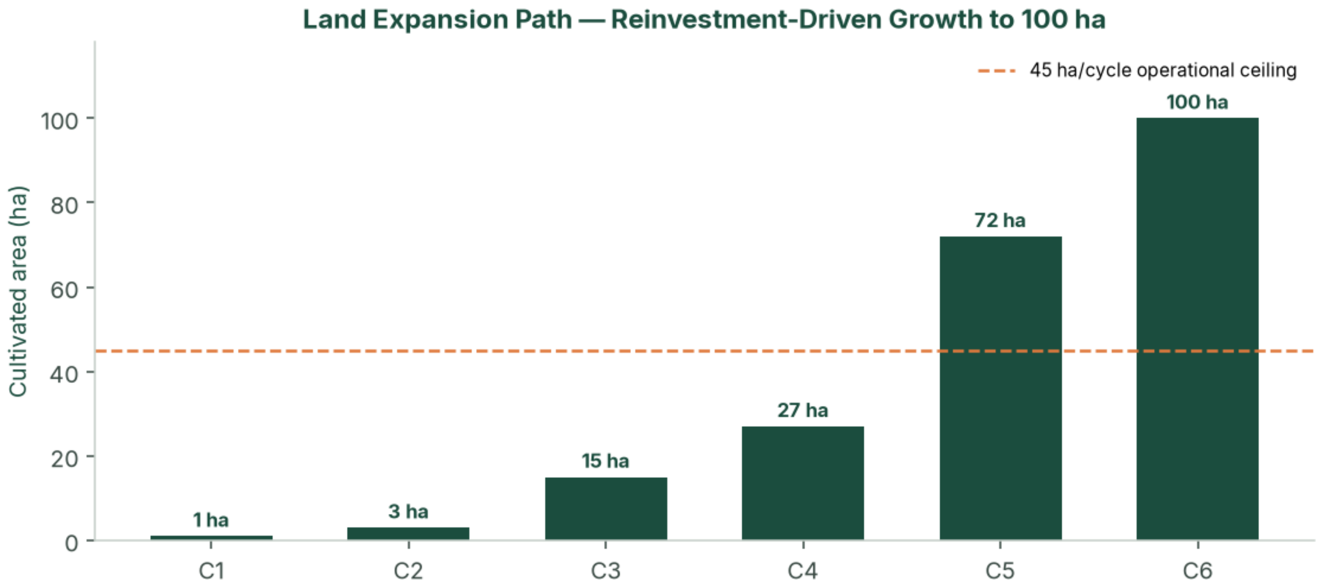

Figure: Land expansion path by cycle (reinvestment-driven, capped at +45 ha/cycle).

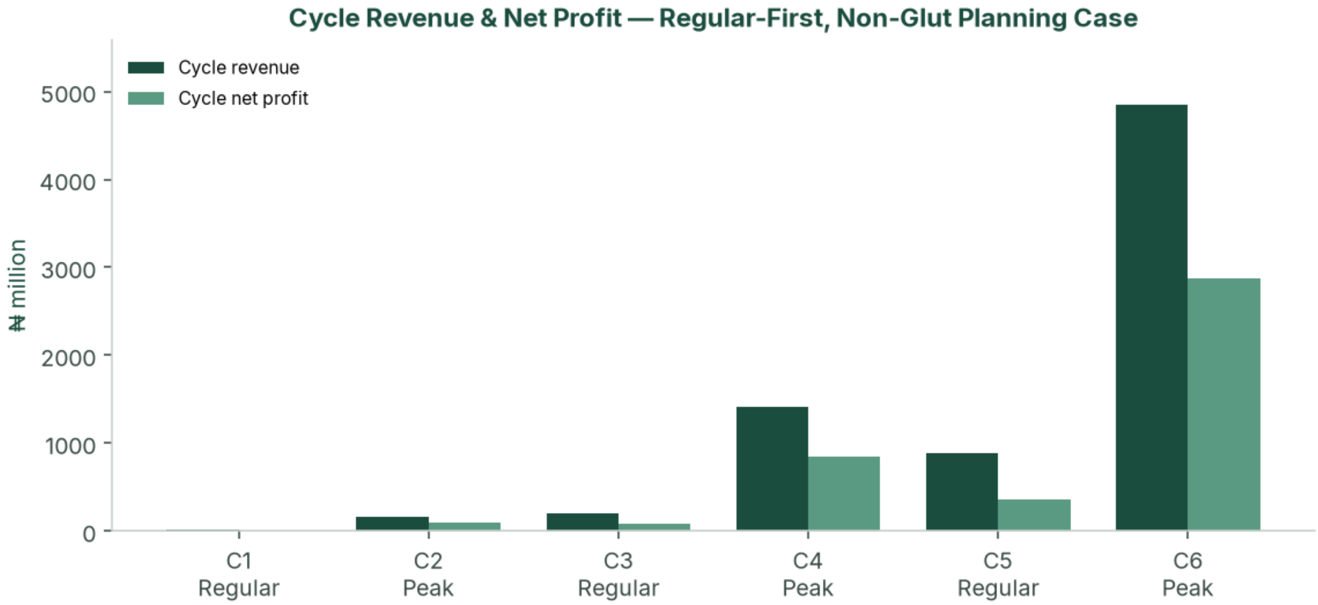

Figure: Cycle revenue and net profit — Regular-first planning case (₦ million). Peak cycles dominate value creation.

Do not plant +45 ha Regular in Cycle 5 unless that harvest is contracted; the add can wait for the following Peak without breaking the three-year idea of the plan.

5.3 Lease-to-own pathway

From Year 2, selected parcels convert to owned land where the lease allows, using buffer reserves. This is not required for the P&L to work. It strengthens the balance sheet and provides real-asset backing for any later facility or downstream investment.

5.4 Implementation timeline

Phase	Timing	Key activities
Pre-operations	Months −4 to 0	See 16-week countdown below
Cycle 1 Regular	Months 0–6	1 ha at non-glut Regular price; Mile 12 buyer log; cycle-close pack; 50/50 split; prepare +2 ha

Phase	Timing	Key activities
Cycle 2 Peak	Months 6–12	3 ha Peak; first high-margin harvest; reinvestment into +12 ha
Cycles 3–4	Year 2	15 → 27 ha; Stage 1→2 mechanization; finance hire; two offtake LOIs; optional ₦80m facility; selective lease-to-own
Cycles 5–6	Year 3	72 → 100 ha; Stage 3; packhouse; 70/30 bulk/spot; full team
Steady state	Year 4+	Dual-cycle 100 ha; yield/cost improvement; optional processing from buffer (separate study)

16-week pre-ops countdown (before Cycle 1 transplant)

Week	Gate
−16 to −14	Counsel on master option/lease; BN 6922259 on file / Ltd conversion; open farm account; ₦8m paid in
−14 to −12	Soil lab + borehole yield/quality on first 10 ha; survey
−12 to −10	Seed and drip quotations; **FarmPark** Cycle 1 advisory letter; farm-manager hire
−10 to −8	NAIC/GIT bind; crate and input orders; genset/pump confirmed
−8 to −6	Drip install on 1 ha; nursery started
−6 to −4	Fertigation trial on a short lateral; IPM kit on site; buyer list started
−4 to 0	Transplant window (late Nov – mid Dec); Cycle 1 budget signed; first scouting log

If any of soil, water, seed or drip is late, **slip the transplant**. Do not compress nursery into a January harvest.

5.5 What the buffer is for

By Year 3 the planning case holds about **₦2.13 billion** in the 50% buffer. That cash is not a licence to start a paste plant, a second 100 ha, or export. Allowed uses, in order:

1. Next-cycle working capital and drip (already in the reinvestment half).
2. Lease-to-own deposits from Year 2 where the lease allows.
3. A missed Peak or a Regular crash (the stress case).
4. Packhouse quality if Cycle 4 cash is in — not because the NPV needs it.
5. Short naira instruments (Treasury bills) for cash that exceeds the next two cycles' opex. No related-party loans, no FX speculation, no processing until a separate study.

5.6 Offtake heads of terms (from Cycle 5)

Cycle 1–4 are Mile 12 cash sales. From Cycle 5 (~70% bulk) a one-page term sheet, not a handshake:

Term	Planning position
Product	Graded fresh tomato, hybrid, crate or bulk bin, spec as §4.10
Volume	~70% of the cycle; 30% remains Mile 12 spot
Price	10% below the reference Mile 12 basket (7% blended haircut already in the model)
Window	Named weeks; Peak window is a condition for Peak cycles
Payment	T+3 to T+7; no open account beyond that
Concentration	No single buyer >40% of a cycle without a board note
Rejects	Spec failure is the farm's; in-transit after dispatch is GIT
LOIs	Two letters before Cycle 3; signed term sheet before Cycle 5 planting

If the term sheet is not signed, delay the +45 ha Regular step. The three-year path to 100 ha can wait one cycle; a 72 ha Regular dump cannot.

6. Financial Plan

The engine is `model/financial_model.py`. The **planning case** keeps the original sequence — Cycle 1 Regular, then Peak — at **non-glut** Mile 12 prices (₦33,000 / ₦145,000), agronomic yields, the complete cost stack, and full NTA 2025 tax. The **upside case** is the same crop path with the five-year agri income-tax holiday. The **stress case** stacks January 2025 glut Regular prices, weaker Peak, lower yields and 17% cost inflation.

6.1 Scenario design

	Stress	Planning (Regular first, non-glut)	Upside
Yield Regular / Peak	15.0 / 13.5 t/ha	**20 / 18 t/ha**	20 / 18 t/ha
Price Regular / Peak	₦15,000 / ₦55,000	**₦33,000 / ₦145,000**	₦33,000 / ₦145,000
Production cost / ha	₦4.25m / ₦4.75m	**₦3.4m / ₦3.8m**	₦3.4m / ₦3.8m
Logistics / basket	₦1,300	**₦900**	₦900
Cost inflation	17%	**12%**	12%
Sale prices	Flat	**Flat**	Flat
First cycle	Regular	**Regular**	Regular
Tax	Full NTA 2025 (Y1 small-company 0%)	**34% (30% CIT + 4% levy)**	5-year agri holiday

All three cases include: phased CapEx, NAIC 2%, cargo 1.5%, management payroll, 5% contingency, D&A, holding-fee lease, 7% bulk haircut from Cycle 5, mechanization discounts 7/14/20%.

Prices are held **flat** while costs inflate. That is conservative for Years 1–3 and demanding for Years 4–5 — which is why the stress-case Year 5 EBIT margin compresses to 5%, and why any facility past Year 4 should include a price-review clause.

6.2 Year 3 comparison

	Stress	Planning	Upside
Revenue	₦1.68bn	**₦5.74bn**	₦5.74bn
NPAT	₦387m	**₦3.24bn**	₦4.91bn
Net margin	23.0%	**56.4%**	85.5%
5-yr NPV @ 18% (no TV)	₦429m	**₦5.78bn**	₦8.79bn
Cycle 1	Loss ₦2.76m	**Profit ₦4.54m (MoS 52%)**	Profit ₦6.88m (holiday)

The stress case remains NPV-positive at 18%. Cycle 1 can lose money if Regular prints the January 2025 crash (₦15,000) instead of the non-glut ₦33,000 ticket. Year 1 as a whole stays positive because Peak on 3 ha repairs it.

6.3 Planning-case annual P&L

₦ million	Y1	Y2	Y3	Y4	Y5
Revenue	169.8	1,607.4	5,738.5	6,082.2	6,082.2
EBIT	147.6	1,407.9	4,906.1	5,017.8	4,893.3
EBIT margin	86.9%	87.6%	85.5%	82.5%	80.5%
Tax @ 34%	50.2	478.7	1,668.1	1,706.1	1,663.7
NPAT	**97.4**	**929.2**	**3,238.0**	**3,311.8**	**3,229.6**
Net margin	57.4%	57.8%	56.4%	54.5%	53.1%
Cumulative 50% buffer	48.7	513.3	2,132.3	3,788.2	5,403.0

Output VAT: fresh produce treated as **exempt**. The planning case does not spend the agri tax holiday; that cash appears only in the upside case, subject to a written tax opinion.

6.4 Profit allocation (50/50)

₦ million	Y1	Y2	Y3
50% buffer (annual)	48.7	464.6	1,619.0
50% reinvested	48.7	464.6	1,619.0
Cumulative buffer	48.7	513.3	2,132.3

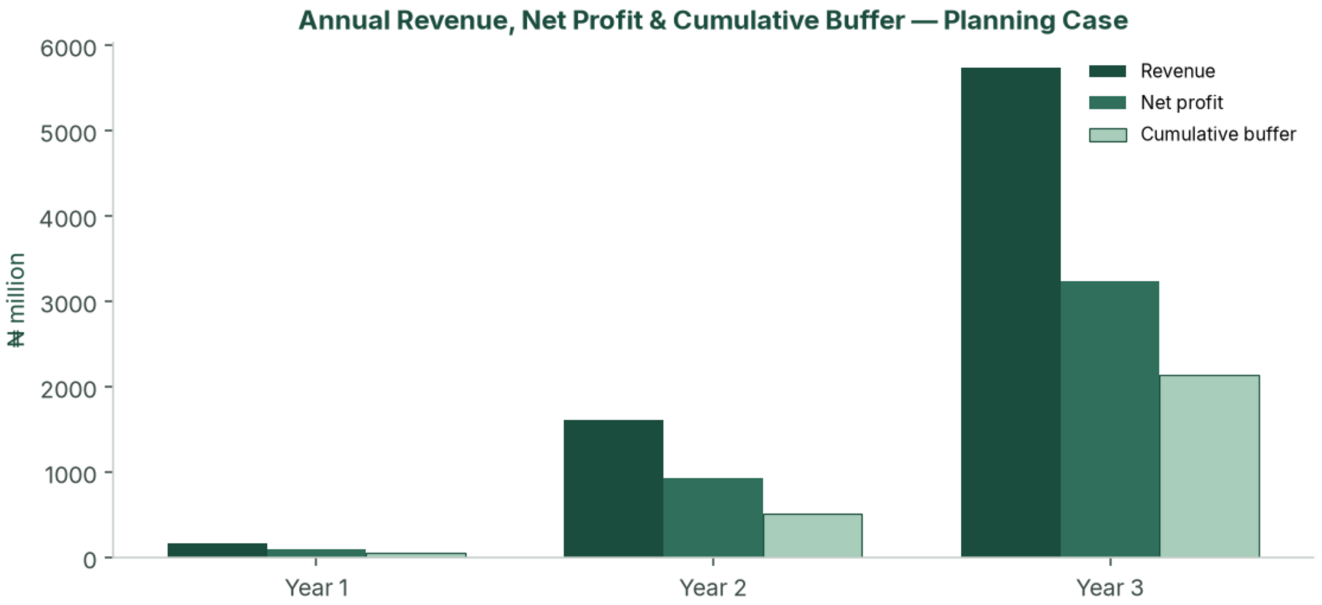

Figure: Annual revenue, net profit and cumulative buffer — Regular-first planning case (₦ million).

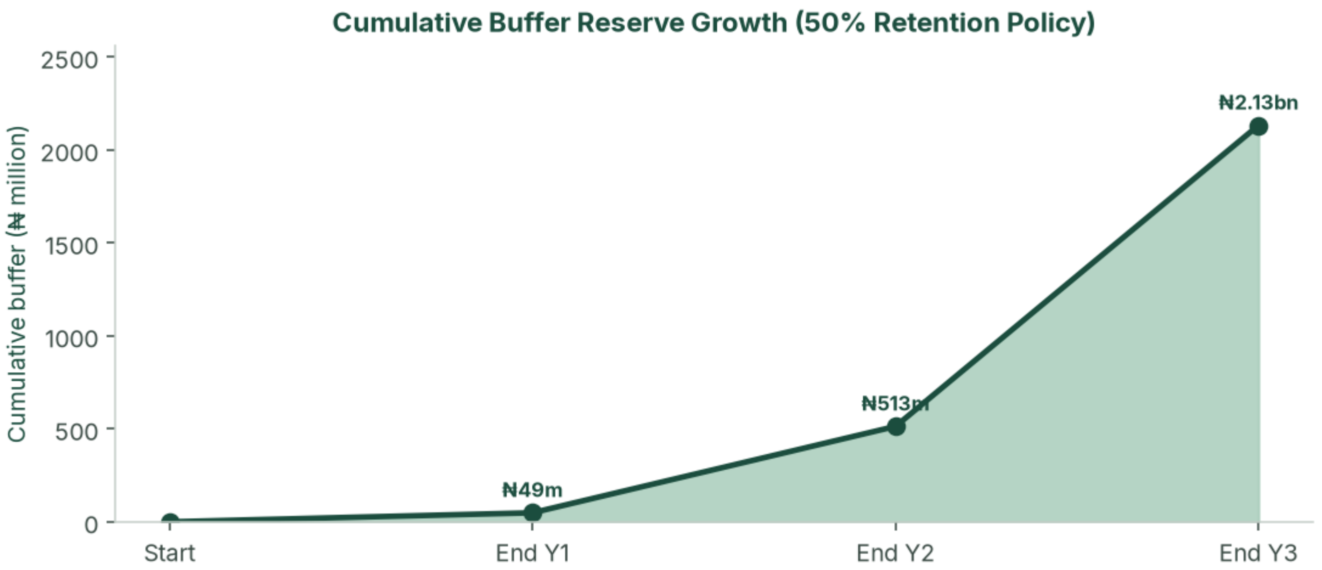

Figure: Cumulative buffer reserve under the 50% retention policy — planning case.

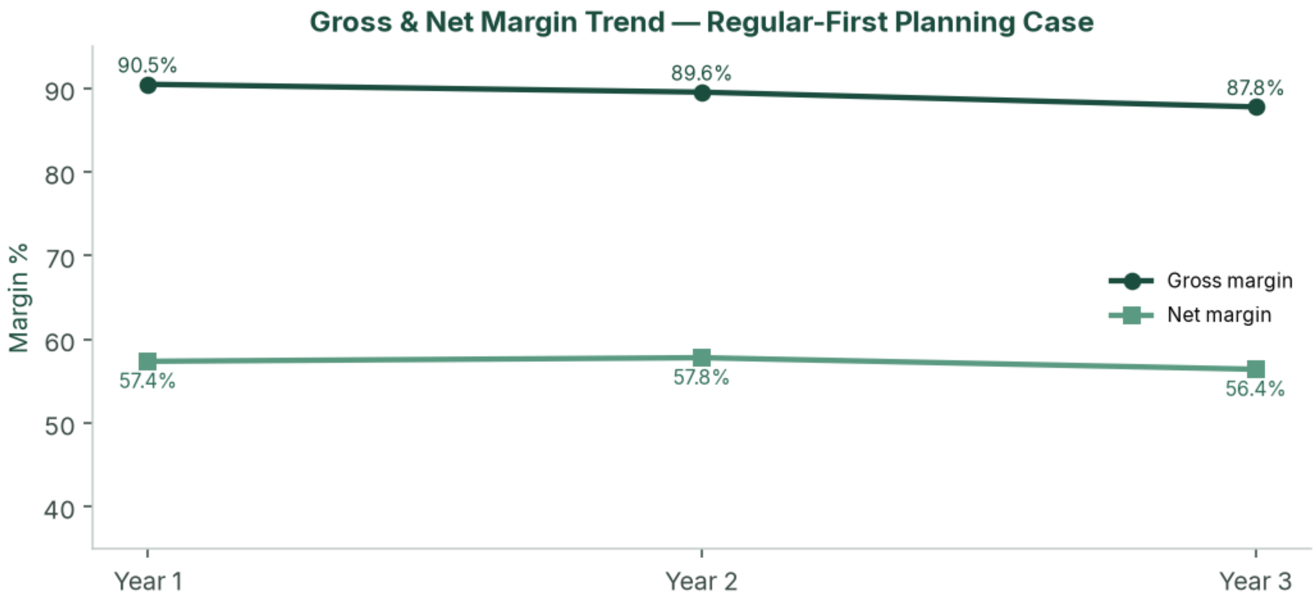

Figure: Gross and net margin trend — planning case, three modelled build-out years.

6.5 Cash flow and balance sheet (planning case)

₦ million	Y1	Y2	Y3	Y4	Y5
CapEx	(5.5)	(38.0)	(113.0)	—	—
Owner equity	8.0∗	—	—	—	—
Closing cash	100.8	997.8	4,146.7	7,484.8	10,740.6
Net PPE	5.6	37.8	126.9	100.7	74.4
Debt	—	—	—	—	—
Equity	106.4	1,035.6	4,273.7	7,585.4	10,815.0

∗Owner equity of ₦8.0 million at t=0. Mile 12 is modelled as cash sales (T+0 to T+3).

6.6 CapEx programme

Irrigation does not scale at zero marginal cost. The study phases drip, boreholes and packhouse as hectares come in.

Trigger	Item	₦
t = 0	Headworks, 1 ha drip, crates, tools, legal	3,500,000
3 ha (C2)	+2 ha drip @ ₦1.0m	2,000,000
15 ha (C3)	+12 ha drip + second borehole	18,000,000
27 ha (C4)	+12 ha drip + packing shed	20,000,000
72 ha (C5)	+45 ha drip + packhouse / cold / third borehole	85,000,000
100 ha (C6)	+28 ha drip	28,000,000
Total through Year 3		**156,500,000**

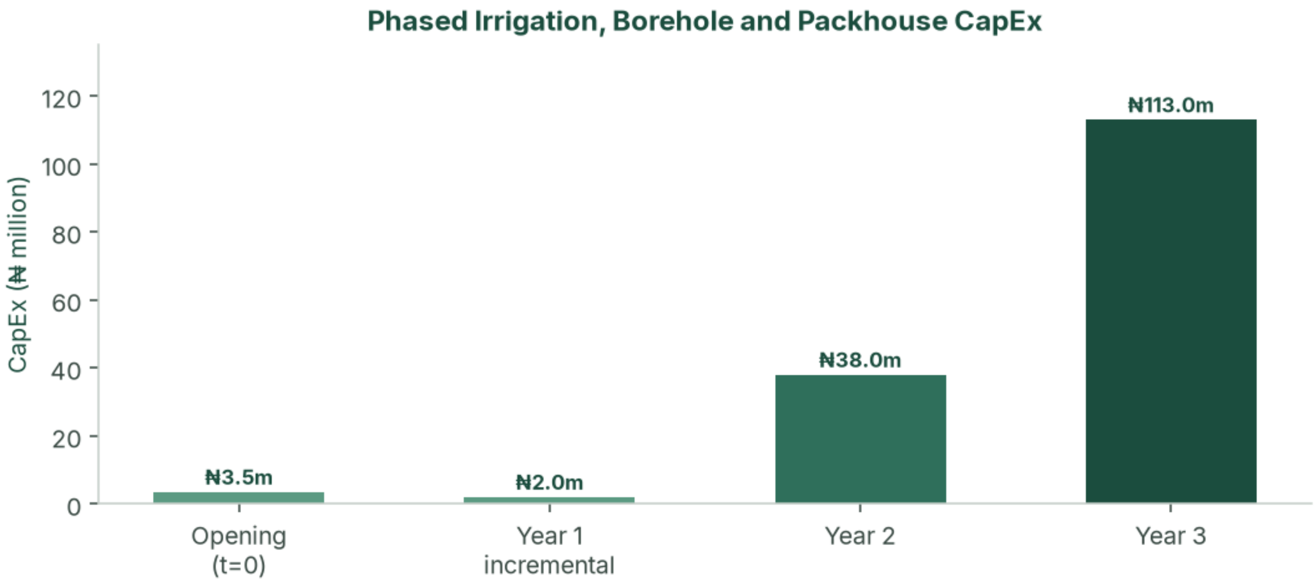

Figure: Phased irrigation, borehole and packhouse capital expenditure. Funded from operations after Cycle 2 Peak. Cycle 5's ₦85 million step is why Peak Cycle 4 must print.

6.7 Break-even (Cycle 1 Regular — non-glut)

	Stress	Planning	Upside
Break-even ₦/basket	₦24,213	**₦15,810**	₦15,810
Cycle 1 selling price	₦15,000	**₦33,000**	₦33,000
Margin of safety	−61.4%	**52.1%**	52.1%
Cycle 1 NPAT	−₦2.76m	**₦4.54m**	₦6.88m

Planning-case payback on opening equity is **Cycle 2 Peak**, still inside Year 1.

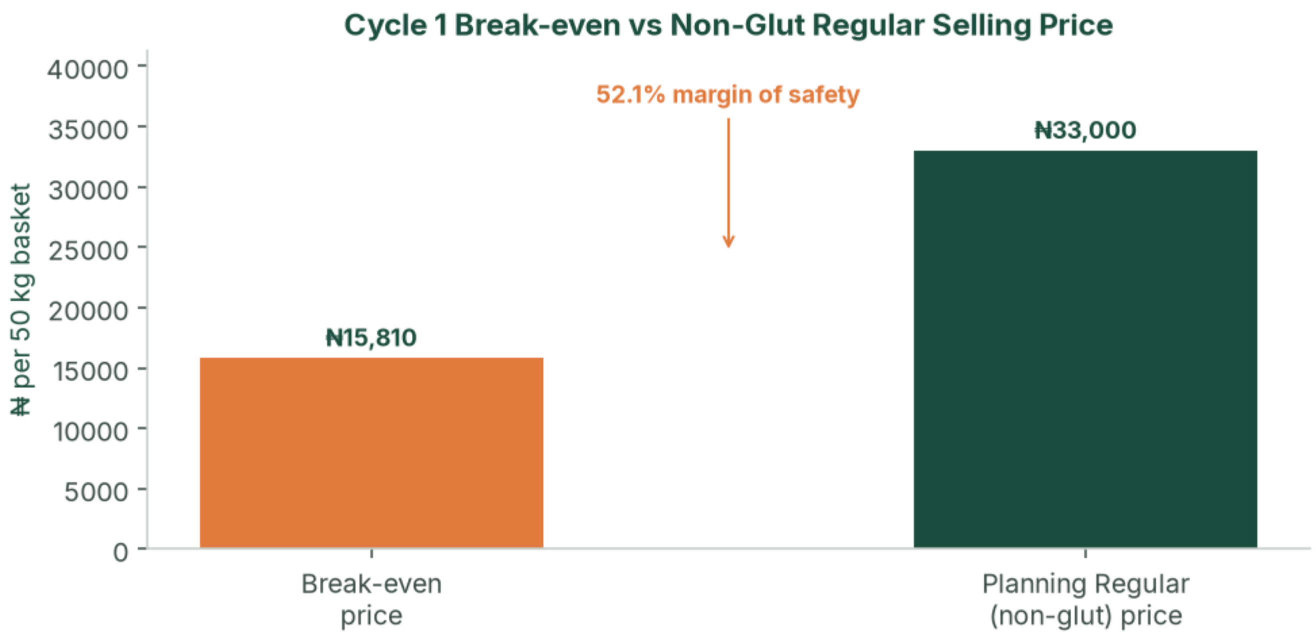

Figure: Cycle 1 break-even price versus non-glut Regular selling price (52.1% margin of safety).

6.8 Sensitivity

Peak cycles carry the enterprise. Regular is planned at a non-glut ₦33,000 ticket; a January-style crash is the stress case, not the plan. The designed stress case (yield −25%, Peak ₦55k, costs +25%, 17% inflation) is the stacked test.

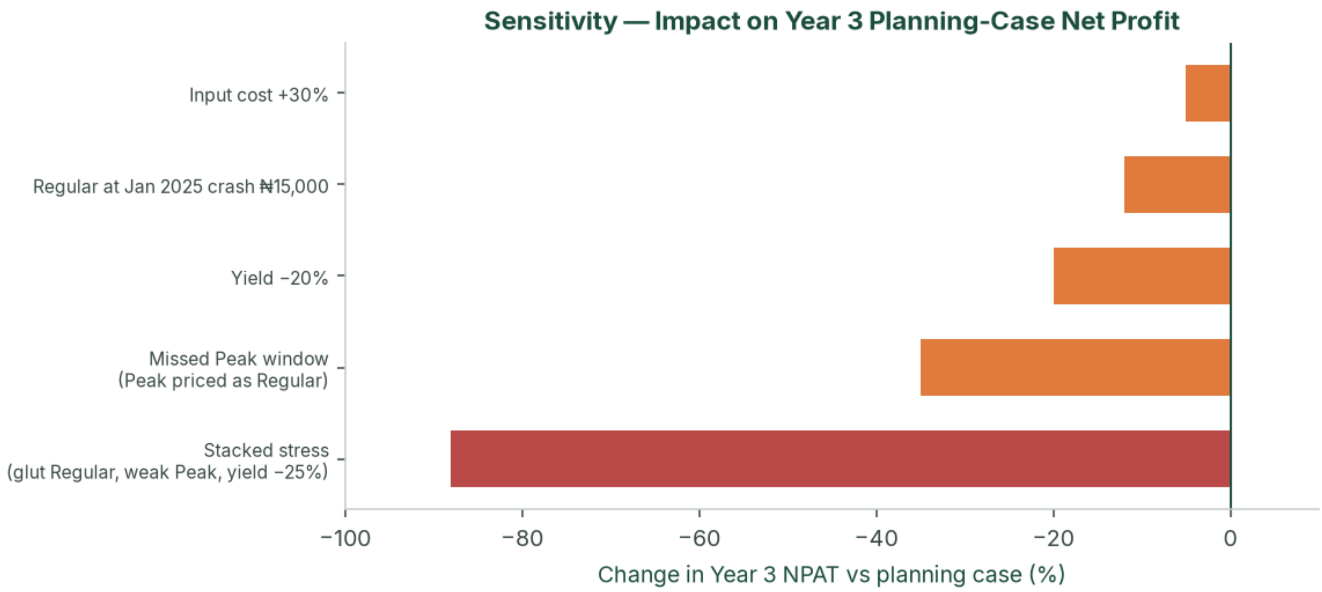

Figure: Sensitivity of Year 3 planning-case net profit to price, yield and cost shocks, including the stacked stress case.

A Peak window missed entirely (Peak price equal to Regular) is the operating kill scenario. Hold one full Peak NPAT in the buffer before the +45 ha step.

6.9 NPV, IRR and investment metrics (planning case)

Unlevered FCF = EBIT × (1 − 34%) + D&A − CapEx. t = 0 is −₦8.0 million in the engine.

	t=0	Y1	Y2	Y3	Y4	Y5
FCF ₦m	(8.0)	96.3	897.0	3,148.9	3,338.0	3,255.8

Discount	NPV
10%, no terminal value	₦7.49bn
18%, no terminal value	**₦5.78bn**
18% + Gordon TV (g = 3%)	₦15.55bn

Project IRR on this path is very high because opening equity is small relative to Cycle 2 Peak cash. **NPV at 18%, Cycle 1 cash coverage, and DSCR (if geared) are the decision metrics** — not IRR.

6.10 KPIs (cycle pack, within 21 days of last sale)

Tonnes sold, average realised ₦/basket, spoilage %, cash / next-cycle opex, buffer balance, 50/50 split, next-cycle planting plan. Target spoilage <5%. Peak blended realisation at least ₦55,000 in the stress floor; Regular at least ₦15,000.

6.11 Sources & uses — what the ₦8 million is spent on

Indicative uses against **August 2026 retail**. Quotations replace every line before a drip deposit. Totals are locked to the original **₦8,000,000** pack (₦3.0 million CapEx + ₦5.0 million Cycle 1 working capital). Mix inside the pack can move when quotes land. Lease in this pack is **₦100,000 for the cultivated hectare only**; unused 99 ha sits on option/ROFR.

Use	₦	Source	₦
Cycle 1 CapEx (water, drip, power, crates, tools)	3,000,000	Promoter equity	8,000,000
Cycle 1 working capital (inputs, labour, lease, logistics, tests, advisory)	5,000,000	Bank / DFI	—
Total	**8,000,000**	**Total**	**8,000,000**

No bank or DFI facility is required to start. After Cycle 2 Peak, working-capital demand is met from internally generated cash. Cycle 5 (₦337 million opex + ₦85 million CapEx) proceeds only with Cycle 4 cash in the bank.

6.11.1 Model 1-hectare tomato business plan (structure)

The public model is **Veggie Concept / Veggie Grow**, *Tomato Farming: Business Plan, Cost, Revenue and Profit* (2022 template, still republished). Copy the **shape**. Do not plant its **naira**.

Model plan section	What it covers	This study
Farm set-up	Drip, soil/water test, staff training	§4.4–4.12 and this pack
Business description	Plant → manage → harvest → sell	§2
Market analysis	Mile 12, April–August scarcity, agents 5–10%	§3; SNLB sells itself, cash T+0
Competitive analysis	Most farmers skip drip and get 4–10 t/ha	§2.5–2.6
Sales strategy	Open market vs retail/hotels	§4.5 Mile 12 SOP; bulk from Cycle 5
Cost / revenue / profit	Three price scenarios	Planning ₦33k / stress ₦15k / caution ₦22k
Notes and assumptions	Yield, seed type, labour, drip	§4.8–4.9 and the financial model

Their 1 ha opex was **₦720,000** (seed ₦120k, labour ₦240k, fertilizer ₦200k, drip CapEx ₦625k). SNLB's planning production cost is **₦3.4 million/ha Regular** plus CapEx, insurance, payroll and logistics — the intensive drip stand, not a 2022 backyard budget.

Other public references used for **structure and shop bands**, not as SNLB's P&L:

- dripirrigation.com.ng — tomato drip steps: land prep → kit → water → layout → install → test. 1 ha laterals **₦500,000–₦1,250,000** (not borehole + genset).
- Farmsquare — 1-acre vegetable drip kit **₦450,000–₦600,000** (≈ ₦1.1–₦1.5 million per hectare of laterals).
- HTS Farms / FarmPays — August 2026 hybrid seed and soluble tickets (below).
- NIHORT intensive range 20–40 t/ha — this plan uses the **floor** (20 t Regular / 18 t Peak).

6.11.2 CapEx — ₦3,000,000 (the kit)

Priced for **Ogun** (generally cheaper drilling than Lagos rock; still quote by the metre). A 9 kVA Mikano does **not** fit. Cycle 1 uses a small farm genset and a 2–4 m³/hour borehole.

#	Item	2026 shop band	Pack ₦	Why this number
A1	Borehole + casing (Ogun, farm depth)	₦600,000–₦1,500,000 SW drill	850,000	Mid-low Ogun hole
A2	Submersible pump, 2,000 L tank, fittings	Pump ₦300,000–₦900,000	300,000	~55 m³/day on 1 ha drip
A3	1 ha drip + filter + fertigation tank + install	₦500,000–₦1,250,000/ha laterals	950,000	Inside the ₦1.0m/ha drip unit
A4	Small diesel/petrol genset (≈2.5–3.5 kVA)	~₦280,000–₦470,000	300,000	Not a 9 kVA estate set
A5	Spare pump + drip-repair kit	—	50,000	Irrigation failure is a yield event
A6	Plastic crates (40 units)	₦7,500–₦11,600 each	320,000	40 × ₦8,000; turn ~10× over harvest (400 baskets)
A7	Nursery shade, trays, knapsack, hoes, trellis, posts	—	130,000	Hardware that is not seed
A8	Land prep 1 ha (plough/harrow/ridge)	₦80,000–₦150,000	100,000	Tractor hire; Stage 0
	CapEx		**3,000,000**	

If the borehole bid exceeds ₦850,000: cut crates to 30, or a cheaper genset — **not drip**. If a working borehole already exists, keep A1–A2 (~₦1.15 million) inside CapEx (better fertigation, more crates, or a solar-assist pump). Do not treat that as spare profit.

6.11.3 Working capital — ₦5,000,000 (the cycle)

Regular production **₦3.4 million** plus cash that still leaves the account before Mile 12 pays.

Line	Pack ₦	2026 build
Hybrid seed + nursery (30%)	1,020,000	~27,500–30,000 seeds (22–25k plants + 10% gaps). Platinum 701 ~₦24,750 / 5g; Ansal F1 ~₦23,600 / 1,000 seeds; Zarah F1 ₦53,000 / 1,000; Eva F1 25g ₦70,500. Mid hybrid seed **₦600,000–₦900,000** plus **₦120,000–₦220,000** trays, compost, nursery labour. Pack is ₦1.02m all-in.
Fertilizer & fertigation (20%)	680,000	NPK 15-15-15 50 kg **₦70,000**; KNO_3 25 kg **₦84,500–₦87,000**; $CaNO_3$ 25 kg **₦73,500–₦75,500**. Example: 4 bags NPK (₦280k) + 3 KNO_3 (₦261k) + 2 $CaNO_3$ (₦147k) + manure (₦80k) ≈ **₦768,000**. The ₦680k line is **tight** — soil test may cut NPK; do not cut fruiting K/Ca.
IPM / crop protection (12%)	408,000	Insecticide, fungicide, nematicide, traps, PPE. The 2022 model used ₦70,000; Ogun humidity needs a Peak-ready kit even in Regular.
Seasonal labour (18%)	612,000	Nursery, transplant, weeding, staking, 8–12 pickers × 2–3 picks/week × 5–6 weeks. ~₦100,000/month field gang for six months, not the 2022 ₦240,000 line.
Irrigation operating (8%)	272,000	Diesel/petrol, 72-hour fuel buffer, filters.
Staking, twine, mulch (7%)	238,000	Bamboo/wood stakes, twine, plastic mulch on drip beds.
Nursery & miscellaneous (5%)	170,000	Gap-fill, Lagos/Abeokuta input haul, small tools.
Production subtotal	**3,400,000**	
Mile 12 logistics (400 × ₦900)	360,000	Fuel, driver, GIT-related haul
Lease — cultivated 1 ha only	100,000	Unused 99 ha on option
NAIC arable 2% of production	68,000	Bind before transplant
Public / product / key-person	188,000	₦180,000 + ₦8,000/ha
5% production contingency	170,000	Seed and soluble shocks
Farm manager (₦70,000 × 6)	420,000	On-site; FarmPark does not replace this
Soil lab + borehole water test (first 10 ha)	80,000	Condition of first planting
FarmPark Cycle 1 advisory retainer	150,000	Naira fee, not a profit share. If they quote more, cut contingency, not drip
Pre-ops (bank, counsel memo on option)	64,000	BN 6922259 on file; Ltd conversion is extra
Working capital	**5,000,000**	

FarmPark's ₦150,000 is a **naira retainer**, not a slice of NPAT.

6.11.4 One-page uses (sums to ₦8,000,000)

Use	₦
Borehole + pump + tank	1,150,000
1 ha drip + fertigation + install	950,000
Genset + spare pump/kit	350,000

Use	₦
40 plastic crates	320,000
Nursery hardware, tools, land prep	230,000
CapEx	**3,000,000**
Hybrid seed + nursery	1,020,000
Fertilizer & fertigation	680,000
IPM	408,000
Seasonal labour	612,000
Irrigation fuel	272,000
Staking / mulch	238,000
Nursery & miscellaneous	170,000
Logistics	360,000
Lease (1 ha)	100,000
Insurance (NAIC + other)	256,000
Contingency	170,000
Farm manager	420,000
Soil/water tests	80,000
FarmPark advisory	150,000
Pre-ops / counsel	64,000
Working capital	**5,000,000**
Opening pack	**8,000,000**

6.11.5 What ₦8 million does not buy

- The other **99 hectares** of drip, a second borehole, packing shed, packhouse, or a 9 kVA genset.
- A FarmPark **co-investment** or profit share.
- Cycle 2's extra **2 ha drip (₦2.0 million) —** that is Cycle 1 retained profit, after the go/no-go in §6.14.
- Holding-fee rent on unused land (option/ROFR instead).
- A paste plant, cold chain, or a second 100 ha.

6.11.6 Why the 2022 1-ha template understates (do not plant it)

Item (1 ha)	Veggie Concept 2022	This pack, August 2026
Drip CapEx	625,000	950,000 laterals + 1,150,000 water/power around it
Hybrid seed	120,000	1,020,000 (seed + nursery)
Fertilizer	200,000	680,000 (shop tickets can print ~₦770k)
Pesticides	70,000	408,000
Labour (6 months)	240,000	612,000 field + 420,000 manager
Farm rent	25,000	100,000 cultivated
Tools / sprayer	15,000	inside ₦230k hardware + land prep
Cash to plant one intensive hectare	**~₦1.3m including drip**	**₦8.0m**

The model plan's **shape** is right. Its **naira is not**. Planting on ₦720k opex in Ogun in 2026 is a Roma-and-rain farm, not a 20 t/ha drip farm.

6.11.7 Buy list (quotes before November nursery)

Examples, not endorsements. Lead times in §4.12. If seed or drip misses the November nursery, **slip transplant**. Do not squeeze into a January harvest.

Need	Where to quote
Hybrid seed (Platinum 701, Eva F1, Ansal, Amiral)	HTS Farms, Farmsquare, authorised East-West / Sakata dealers — **8–12 weeks**
Drip + fertigation	Farmsquare; dripirrigation.com.ng installers; Ogun irrigation contractors
Borehole	Ogun rotary contractor — metre rate + pump as one bid
NPK / KNO_3 / $CaNO_3$	HTS Farms, FarmPays, Abeokuta agro-dealers
Crates	Plastic Store NG, CK Plast / Vannis — buy before harvest, not in week one
Genset / pump	Lagos/Abeokuta dealers; keep it 2.5–3.5 kVA
Soil / water lab	NIHORT or a NAMLS-linked lab; first **10 ha**

August 2026 shop checks used above: HTS Farms NPK 15-15-15 50 kg ~₦70,000; KNO_3 25 kg ~₦87,000; $CaNO_3$ 25 kg ~₦73,500–₦75,500; Platinum 701 5g ~₦24,750; Eva F1 25g ~₦70,500; Zarah F1 1,000 seeds ~₦53,000; Ansal F1 1,000 seeds ~₦23,599; FarmPays KNO_3 25 kg ~₦84,500; SW borehole often ₦600,000–₦1,500,000; complete water system ₦900,000–₦2,500,000; farm crates ₦7,500–₦11,600; 3.5 kVA genset class ~₦450,000. Replace every line with a named quotation before money leaves the farm account.

6.12 Optional ₦80 million facility

The plan does not need debt to reach 100 ha. The optional facility exists so that a BOA / NIRSAL / ACGSF file is fully specified if promoters later want to protect the buffer through Year 2 expansion.

Term	Illustration
Amount / draw	₦80 million at start of Year 2
Use	C3–C4 drip, borehole, packing shed, WC reserve, prepaid NAIC
Rate	BOA production: 9% + 1% p.a. management + 0.5% appraisal
Shape	Year 2 interest-only; Years 3–5 amortising
Minimum DSCR	**145×** planning; **4.0×** stress (covenant 1.50×)

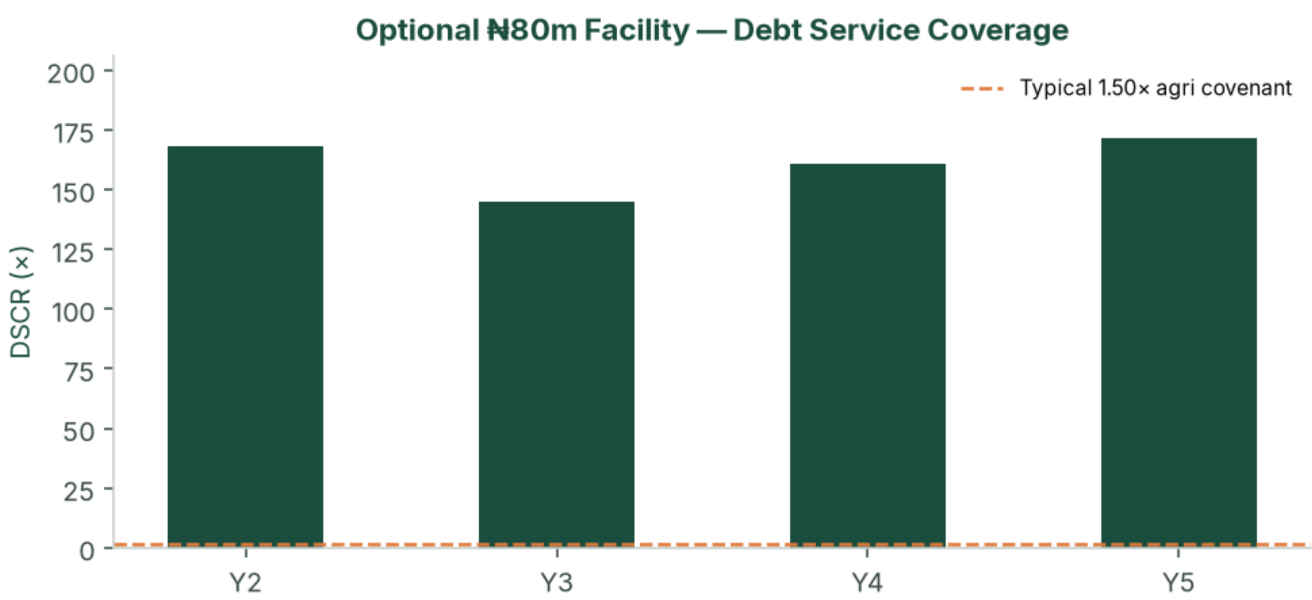

Figure: Debt service coverage on the optional ₦80 million facility — planning case versus a typical 1.50× agricultural covenant.

Security, if drawn: all-asset debenture; assignment of the master lease/option (negotiate now); charge over drip and packhouse; NAIC loss-payee; promoter guarantee; BOA lien deposit 10–20% if that product is used. Year 2 planning-case cash (₦998 million) would cash-collateralise the ticket after Cycle 2.

6.13 Cycle 1 cash waterfall (₦8.0 million pack)

Cash leaves the farm before Mile 12 pays. The ₦8.0 million pack is sized for that gap: ₦3.0 million CapEx and ₦5.0 million working capital. Cycle 1 lease cash in this pack is **cultivated hectare only** (₦100,000). The unused 99 ha is held on option/ROFR so a holding fee does not consume Cycle 1 working capital. Harvest cash (₦13.2 million at ₦33,000) returns over five to six weeks.

Phase	Cash out (indicative)	Cash in	Running cash
t = 0 — equity paid in	—	8,000,000	8,000,000
Headworks, 1 ha drip, crates, tools	3,000,000	—	5,000,000
Nursery, seed, first fertigation	1,200,000	—	3,800,000
In-season inputs, labour, IPM, water, lease, insurance	3,200,000	—	600,000
Harvest weeks (400 baskets @ ₦33,000)	360,000 logistics	13,200,000	13,440,000
Cycle close (before 50/50)	—	—	≈13.4m

The ₦600,000 trough before first sale is why crates, fuel and the last labour week are not left to "pay from the market." If Regular prints the stress floor (₦15,000) instead of ₦33,000, harvest cash is ₦6.0 million and Cycle 1 is a planned loss — the go/no-go below.

6.14 Cycle 1 go / no-go before the +2 ha Peak step

Cycle 1 is the proof. Do not add two hectares for Peak on hope.

Cycle 1 result	Action
Yield ≥ 18 t/ha **and** average basket ≥ ₦30,000	Proceed to 3 ha Peak as planned
Yield 15–18 t/ha **or** price ₦22,000–₦30,000	Peak on 1–2 ha only; fix nursery, fertigation or grade; do not spend the full +2 ha drip until the next close
Yield < 15 t/ha **or** price ≤ ₦20,000 for the harvest	Stay at 1 ha; run Peak as a timing test; do not scale. That is the stress case, not a reason to raise opening capital

7. Risk Assessment

The enterprise is high-margin, Peak-dependent and operationally constrained. It is not a thin row-crop that dies at a 10% price move. Residual high-impact items are execution: Peak timing, +45 ha mobilisation, tenure, and Cycle 1 cash coverage — all addressed in the pre-ops list.

7.1 Market risks

Risk	L	I	Mitigation
Peak below ₦90,000	M	H	Plan is ₦145k; stress ₦55k still Year-1-profitable; buffer
Regular glut ₦13–15k	M	M	Cycle 1 may lose money at the crash; do not size Year 1 debt off Regular
Self-cannibalisation at 72–100 ha	M	H	70% bulk from C5 contracted, not hoped
Bulk buyer default	L	M	40% concentration cap; 30% spot sleeve
New southern intensive entrants	L	M	18-month relationship lead; capital wall

7.2 Operational and tenure risks

Risk	L	I	Mitigation
Missed Peak harvest window	M	H	Calendar reverse-engineered from Mile 12; farm-manager KPI
Staffing / +45 ha mobilisation	H	H	Hard ceiling; FarmPark (or successor) SLA before C4; option to delay add to next Peak
Irrigation failure	L	H	Spares; dual borehole from 15 ha
Tuta / Peak disease	M	H	IPM; lower Peak yield; NAIC

Risk	L	I	Mitigation
Lease defective / family claim	L	H	Counsel opinion; assignment language; holding fee + option
Water short at 100 ha	M	H	Pumping test sized to 100 ha before C5

7.3 Financial, tax, FX

Inflation 17% versus flat prices through Year 5 is the stress-case Year 5 5% EBIT path — keep facilities short or include a price reset. The agri holiday is upside only until a tax opinion exists; the planning case is fully taxed. Imported seed and drip FX is managed by early procurement and naira quotations.

7.4 Regulatory and legal

CAC: **SNLB ENTERPRISE** is already registered as a business name (**BN 6922259**, 31 March 2023; agricultural services, general trading and merchandise; 17 Ugochukwu Orji Street, Westgate Estate, Igbo Efon, Lekki). Convert to a **limited company** before transplant if a lease assignment or a credit file is in view — a BN has unlimited personal liability and is a weaker contracting party for FarmPark. TIN from Cycle 1. Pension Reform Act once management is employed. Master lease reviewed for renewal, sub-lease, lease-to-own and lender assignment. OGEPA screening on land use; escalate before packhouse.

7.5 Insurance (costed)

Cover	Basis	Bind
NAIC (or equivalent) arable / weather-index	2% of production cost per cycle	Every cycle before transplant
Goods-in-transit	1.5% of logistics	Every haul
Public / product liability + key person	₦180,000 + ₦8,000/ha per cycle	Cycle 1
Asset all-risks on drip, pumps, packhouse	Quoted at installation	At installation

BOA publicly cites NAIC arable at 2% of material inputs — aligned with the model.

7.6 Overall

Structural margins in the planning case (EBIT 80–88%) and the 50% buffer are the safety cushion. Market-absorption risk at full scale is addressed via the Cycle 5 bulk transition. The binding constraint from Cycle 4 is operational bandwidth — which is why the 45 ha/cycle ceiling is part of the plan, not a later discovery.

8. Environmental, Social & Governance

8.1 Environmental

Drip reduces water per tonne versus flood or rain-fed waste. Short haul cuts embedded loss versus the northern corridor (40–50% typical). IPM aims to cut blanket insecticide versus high-pressure northern systems. Quantified water (m^3/t) and pesticide (kg ai/ha) KPIs start Cycle 2.

IFC Performance Standards screening: OGEPA letter and a simple ESMP at 1–15 ha; labour terms and no child labour; spray buffers and haul hours; confirm the block is not wetland or forest reserve; chance-find procedure. Full ESIA is unlikely at 1 ha and likely at packhouse / 72 ha.

8.2 Social

Seasonal harvest employment scales with hectares; permanent staff follow the organogram. Skills transfer via the farm-management company. Prefer local labour for harvest. Pension Reform Act compliance for formal staff.

8.3 Governance

Cycle-level close, 50/50 rule, audit from Year 1, related-party lease disclosure, and a collection account if any facility is live. Board: promoter plus one independent with agribusiness or audit experience from Cycle 3. Reserved matters: new debt above ₦10 million; related-party leases; change of 50/50; sale of the leasehold interest; offtake above 40% with a single counterparty.

9. Conclusion & Recommendations

9.1 Feasibility verdict

This study finds the venture **feasible**. Starting from one hectare and ₦8 million of paid-in capital, the Regular-first planning case reaches the full 100-hectare master block in six cycles — three years — without required external financing. It is underpinned by a structural tomato supply deficit, Ogun's geographic advantage, a first harvest at a non-glut Regular Mile 12 price, Peak capture from Cycle 2, and a capital-allocation policy that funds growth from retained profit while holding a cash buffer.

The planning-case NPV at 18% is **₦5.78 billion** (five years, no terminal value). The stress case remains value-accretive at 18% (₦429 million). The upside case, if the agri tax holiday holds on the same crop path, is ₦8.79 billion at the same discount.

9.2 Critical success factors

1. Peak harvest timed into the July–November scarcity window.
2. Cycle 1 Regular harvest timed to **February–April**, not into the January crash.
3. ₦8 million paid-in before Cycle 1 transplant.
4. A bankable lease/option with assignment rights; Cycle 1 rent on cultivated land, unused block on option.
5. Uncompromising 50/50 allocation and the 45 ha/cycle ceiling.
6. Bulk offtake signed before the +45 ha Regular step.
7. Cycle-level books from harvest one.
8. Irrigation integrity — modelled yields are drip-dependent.

9.3 Recommendations

- Convert **SNLB ENTERPRISE** (BN 6922259) to a limited company before a credit file or a long FMC SLA; open a dedicated operating account; pay in ₦8 million.
- Instruct counsel on the master option/lease before drip deposits.
- Commission soil and borehole tests on the first 10 ha.
- Bind NAIC and GIT; hire the farm manager; engage **FarmPark** on **advisory** terms only after the Appendix F ticks (CAC entity, no co-investment, Cycle 1 letter, reference-farm visit).
- Run Cycle 1 as a Regular proof cycle at the non-glut ₦33,000 ticket, harvested February–April. Use Cycle 2 Peak to fill the buffer.
- Apply the Cycle 1 go/no-go before spending drip on the extra 2 ha.
- Order seed 8–12 weeks before nursery; do not compress into a January harvest.
- Begin bulk-contract conversations in Cycles 3–4; sign heads of terms before Cycle 5 planting.
- Hold the buffer for operations, lease-to-own and a missed cycle — not for processing or a second 100 ha.
- Confirm with the farm-management company, before Cycle 4, that +45 ha can actually be mobilised — revise the ceiling down if not.
- Obtain a tax opinion on the NTA 2025 agri holiday; the planning case does not spend that cash.
- After the Cycle 2 audit pack, raise the optional ₦80 million facility only if it accelerates packhouse quality — not because the model needs it.
- Do not mix processing, export or a second 100 ha into this NPV.

9.4 Final statement

The opportunity is a structural tomato deficit, a 1.5-hour corridor to the price-setting market, and a two-cycle calendar that turns national volatility into a P&L feature. The plan is a thoroughly costed path from one hectare to one hundred — provided the pace of land expansion is matched, cycle for cycle, by staffing, drip and offtake, which the numbers show will be the true limiting factor almost from the outset.

10. Appendices

A. Glossary

Term	Meaning
Regular season	Dec–Jun cycle; **planned** at a non-glut Mile 12 ticket (harvest Feb–Apr), not at the January crash
Peak / scarcity season	Jul–Nov cycle aligned with northern supply collapse
50/50 rule	NPAT split: 50% cash buffer, 50% reinvestment
Master block	Contiguous 100 ha under option/lease
Planning case	Regular first at non-glut ₦33,000 / Peak ₦145,000, agronomic yields, full tax
Upside case	Agronomic yields, observed Peak prints, agri tax holiday
Stress case	Glut Regular, weaker Peak, lower yield, faster inflation
DSCR	EBITDA / (interest + fees + principal)
NTA 2025	Nigeria Tax Act 2025
NAIC	Nigerian Agricultural Insurance Corporation (or equivalent)
BOA	Bank of Agriculture
ACGSF	Agricultural Credit Guarantee Scheme Fund

B. Conditions of first planting

1. **SNLB ENTERPRISE** BN 6922259 on file; convert to Ltd (agriculture objects, borrowing power) before a credit application; TIN; farm account.
2. ₦8,000,000 paid into the farm account, with the share register and board minutes.
3. Executed master option/lease with lender-assignment language.
4. Independent soil test and borehole yield/quality on the first 10 ha.
5. Named farm manager (CV) and **FarmPark** (or successor FMC) **advisory letter for Cycle 1** — contracting company matched to CAC; no co-investment; no NPAT share (Appendix F).
6. NAIC and GIT bound for Cycle 1.
7. Seed and drip quotations.
8. Promoter KYC (NIN, BVN, ID, PEP).
9. Tax engagement letter (holiday versus 34%).
10. Cycle 1 budget signed against ≈₦6.3 million planning-case cash opex (Regular, 1 ha).

Subsequent gates: Cycle 1 Regular management accounts; Peak IPM before Cycle 2; two offtake LOIs before Cycle 3; mechanization SLA and 100 ha water note before Cycle 4; bulk term sheet before Cycle 5 (or delay +45 ha); Year 1 audit within 120 days.

C. Data-room index

Corporate (CAC BN 6922259 / successor Ltd, MEMART, TIN) · Land (lease/option, survey, counsel) · Technical (soil, water, drip, seed, IPM, calendar) · Market (price log, LOIs) · Financial (statements, cycle packs, tax, insurance) · ESG (OGEPA, labour) · Security (asset register) · Quotations · FMC (FarmPark CAC, advisory letter matching the tomato RACI, reference farms, fee quote).

D. Model files

`snlb-farms/model/financial_model.py` · `outputs/model_results.json` · `credit_cycle_pnl.csv` · `credit_annual.csv` · `credit_debt_dscr.csv` · charts in `snlb-farms/charts/`. Cycle 1 opening uses are in §6.11 of this study.

E. Primary sources & benchmarks

NIHORT production guidance and HortiTom4/5 notes. Olam-Caraway public yields. Mile 12 price points from Businessday, Nairametrics, Vanguard and related reporting, August 2024 – July 2026. NBS food inflation May

2026 (16.96% y/y). Nigeria Tax Act 2025 (small-company test; 30% CIT; 4% Development Levy; 5-year agri exemption for qualifying crop production — confirm with counsel). BOA production-loan charges (9%; NAIC arable 2%). ACGSF up to 75% guarantee. Industry estimates: 3.7 Mt output; 40–50% post-harvest loss; US$350–400m paste imports. Drip kit Nigerian retail ranges 2024–2026; model uses ₦1.0m/ha incremental plus shared headworks. **Cycle 1 ₦8m uses:** Veggie Concept/Veggie Grow 1-ha tomato plan (structure only); dripirrigation.com.ng ₦0.5–1.25m/ha laterals; Farmsquare 1-acre kits ₦450–600k; HTS Farms/FarmPays August 2026 seed and soluble tickets (NPK 50 kg ~₦70k; KNO_3 25 kg ~₦85–87k); SW borehole ₦0.6–1.5m; farm crates ₦7.5–11.6k.

F. FarmPark partner file — public facts and gaps

Intended FMC: FarmPark, King's Deck, Alternative Route off Chevron Drive, Lekki.

Public fact	Status
Office at Chevron / King's Deck	Repeated on website, LinkedIn and 2021–22 job ads
Legal name	**Open.** Trademark said to sit in FarmAgro Projects Limited; job boards say FarmPark Limited. No RC number in public materials.
How they operate	Land sale + co-investment + managed farm. FARM-IN / FARM-OUT / e-Farming. Place a farmer, schedule plant/harvest, irrigate, remit returns. Mixed **crop and poultry/fish**. Tomato only as "produce the investor desires."
Tomato / drip / Mile 12 SOP	**Not published.** No cultivar, no 20 t/ha, no Feb–Apr Regular window, no Mile 12 floor.
Risk method they preach	Diversify into **livestock** — conflicts with a tomato-only 100 ha block
Website claims (500 acres, 85% yield, $12.99 plans, foreign staff names)	Treat as **template / unverified**. Do not use in the model.
Headcount	Public scrapes 1–11 people. Insufficient on its face for 72–100 ha without named subcontractors.
Related party signal	2022 jobs directed CVs to a **Revelation Properties** Gmail.
SNLB counterparty	**SNLB ENTERPRISE** BN 6922259 on file (`legal/SNLB_ENTERPRISE_CAC_BN_6922259.pdf`). Ltd conversion still open.

Gaps the promoters must close before paying a retainer or treating the FMC CP as met

1. CAC extract: contracting company, RC, directors, who signs.
2. Written **advisory** mandate for Cycles 1–2 — no co-investment, no FarmPark land, no NPAT share.
3. Three reference farms (crop, hectares, yield, buyer) and a visit to one working site.
4. Named Ogun farm manager (CV) who accepts the §4.13 KPI pack.
5. Naira fee quote; disclosure of any input mark-up.
6. Mobilisation note for +15 / +27 / +45 ha and a Cycle 4 mechanization SLA.
7. Related-party and non-circumvention letter on the 100 ha option.
8. NAIC/GIT and labour (whose payroll) in writing.

Walk away if they will only transact as an unnamed "FarmPark," insist on co-investment or a profit share, or cannot show a farm you can walk.

Cycle map (if they pass DD)

Cycle	SNLB tomato job	FarmPark role
Pre-ops	Lease, soil, water, ₦8m, seed/drip	Advisory letter; drip/nursery spec; not the land vendor
C1 Regular, 1 ha	20 t/ha; Feb–Apr; Mile 12	Advise calendar, fertigation, labour gang; ₦150k retainer
C2 Peak, 3 ha	18 t/ha; Jul–Nov	Peak IPM; +2 ha drip supervise; go/no-go after C1
C3–C4	15 → 27 ha; mechanization	Optional SLA; tractor coordination
C5–C6	72 → 100 ha	Master service only if C4 mobilisation was real

First-meeting ask: CAC entity and who signs; Ogun farm-manager CV; three reference farms plus a visit; Cycle 1 advisory letter (no equity farm-out); naira fee; no co-investment / no land / no NPAT share / no livestock on the block; related-party disclosure (Revelation Properties).

G. Document control

Version	Date	Notes
Comprehensive Feasibility Study	August 2026	Regular-first; FarmPark tomato RACI and cycle map; SNLB ENTERPRISE BN 6922259; full Cycle 1 ₦8m uses, model 1-ha plan, 2022 vs 2026, buy list in §6.11

Prepared for SNLB Farms. Not for general circulation. Replace planning tables with live quotations and the site report before any binding credit application.